

FUND WISE



"Nowhere in the world is so much capital being consumed. As our consumption goes up, more and more money is required to sustain and fuel it."

GOPAL SRINIVASAN, DIRECTOR, TVS ELECTRONICS

"Unlike most businesses, where capital is critical, in PE, talent is crucial. This business is more art than science and, like a marathon, requires endurance."

SAMEER SAIN, MD & CEO, FCH



"With economic growth and more importantly, growth in entrepreneurial spirit, we see many opportunities to fund good companies."

AJAY SRINIVASAN, DIRECTOR, FINANCIAL SERVICES, ADITYA BIRLA MANAGEMENT CORPORATION

"Our selection of deals is far more stringent than that by traditional PE firms. The aim is to at least beat Reliance's internal rate of return."

HARSHAL SHAH, CEO, RELIANCE TECHNOLOGY VENTURES



function as an independent alternative investor, it will also be the "eyes and ears for the group" and advise it on its acquisitions, as in the case of Reliance Communications' \$300-million (Rs 1,200-crore) buyout of US-based Ethernet service provider Yipes Holdings.

While these funds may be affiliated to a corporate house, they function independently—"to maximise returns for shareholders rather than to meet the objectives of the group", says Bharat Banka, CEO, private equity, Aditya Birla Management Corporation. No wonder then that both Birla and the Tatas have roped in trusted executives from within the group. While AV Birla's old hand Bharat Banka will head its PE foray, Tata Capital is headed by Praveen Kadle, former CFO, Tata Motors, although the group refuses to reveal its plans.

Moving into private equity is a natural progression for corporates,

especially as many of them have a thriving financial services business. "PE is a core part of our DNA," says Sain, MD and CEO of FCH. "Corporates' fascination with PE is not unlike the current interest in power generation or telecom. People seem to be creating a lot of wealth in these businesses," he adds. The lures of private equity are indeed many. In the past two years, PE firms have earned two-five times their investment. Besides, companies taking the PE route can tap funds flowing in from high-net worth individuals as well as institutional investors. They are entitled to a 2-per cent management fee and a 20-per cent performance fee.

Not only is PE a good way for companies to expand their portfolio and hedge bets, but such alternative funds can also exploit opportunities overlooked by corporates, often due to different risk and return expectations. For instance, RTVL's deal with a player

from an unrelated but complementary industry is one that parent ADAG could probably not have struck, given the smaller quantum of funds involved. The deal, which will allow the group to get into the travel business at a later stage, is symbiotic, as handling the group's travel business has added to Yatra's topline.

The quest, however, is not just for returns. Companies setting up PE funds aim to tap the technology domain, understand changing markets and get a sense of the talent movement. A PE fund acts as a crucible that brings strategic inputs and enables tactical moves. Take Future's investment in Sula Vineyards. It will bring not only returns, but also an understanding of the upwardly mobile consumer. Similarly, the investment in cosmetics firm Faces is both tactical and strategic as it could become a subsidiary. AV Birla Group's Rs 13.5-crore investment in Core Projects & Technologies will not only give it a connect with educational systems but also an insight into logistics, which could help in its retail business. However, in a talent-starved market, the long-term success of PE firms will depend on their team.

What does their entry mean for the already crowded market? "It means I have to work harder," jokes Ashish Dhawan, senior MD, ChrysCapital, a PE firm. "There are too many investors chasing too few deals," says Sanjeev Krishan, executive director, PricewaterhouseCoopers. As a result, valuations have shot up. In the past 18 months, companies have been paying 30-50 per cent more for the same assets, concurs Dhawan. Timing is also an issue. Analysts are referring to this as the private equity boom. "Now is not a good time to invest money," says Dhawan, who has slowed down the pace of his investment. Nitin Deshmukh, head, private equity, Kotak Investment Advisors, agrees: "We are at the peak today. The inexperienced could end up making mistakes."

For companies, which see corporates lining up to invest, these are good times. With investors from across the globe increasing their India allocations, PE in India is at a point of inflection. It's time the players geared up for the next level of competition. ■